IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH-V

C.P.(CAA)/33/(PB)2021
IN
C.A.(CAA)/99/(PB)2020

(Under Section 230-232 of the Companies Act, 2013 read with read with the Company (Compromises, Arrangements and Amalgamations) Rules, 2016*)*

In the Matter of Scheme of Arrangement

1. M V IMPEX PRIVATE LIMITED
Registered Office: 84A, Khasra No-548, 1st Floor, Main Vasant Kunj Road, Mahipalpur, New Delhi-110037.

...Transferor Company -1/
Petitioner Company-1

AND

2.MURUGAN CONSULTANTS PRIVATE LIMITED
Registered Office: K 59, 1st Floor, KH No. 796/2 Main Road, Vasant Kunj, Mahipalpur, New Delhi-110037.

... Transferor Company-2 /
Petitioner Company-2

AND

3.BALAJI TRADECOMM PRIVATE LIMITED
Registered Office: 84A, Khasra No-548, 1st Floor, Main Vasant Kunj Road, Mahipalpur, New Delhi-110037.

... Transferor Company-3/
Petitioner Company-3

AND

4. SHARTHAK VANIJYA PRIVATE LIMITED
Registered Office: Office No. 84A, Khasra No. 548, 1st Floor, Main Vasant Kunj Road, Mahipalpur, New Delhi-110037.

... Transferor Company-4/
Petitioner Company-4

With

5. BANSAL COAL UDYOG PRIVATE LIMITED
Registered office: K 59, 1st Floor, KH No. 796/2 Main Road, Vasant Kunj, Mahipalpur, New Delhi-110037.

... Transferee Company/
Petitioner Company-5

Coram:

JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

SH. RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

Counsel for Petitioner/Applicant:	Mr. P. Nagesh, Mr. Suhas Puthige, Sr. Advocates, Mr. Barsha Dikshit, PCS.
Counsel for RD	Ms. Shankari Mishra, Advocate.
Counsel for OL	Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana, Advocate.
Counsel for Income Tax Department	Mr. Zoheb Hossain, Sr. St. Counsel, Mr. Parth Semwal, Mr. Vipul Agrawal, Jr. St. Counsel for Revenue.

Date: 03.02.2023

ORDER

PER: JUSTICE TELAPROLU RAJANI, HON'BLE MEMBER (JUDICIAL)

1. This petition has been jointly filed by M/s. MV Impex Private Limited, M/s. Murugan Consultants Private Limited, M/s. Balaji Tradecomm Private Limited, M/s. Sharthak Vanijya Private and M/s. Bansal Coal Udyog Private Limited ('Petitioner Companies') under Sections 230 to 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the proposed Composite Scheme of Arrangement that provides for-

   (a) De-merger of the Coal Undertaking (as defined in the Scheme) of MV Impex Pvt. Ltd. into Bansal Coal Udyog Private Limited and
   (b) De-merger of the Coal Undertaking (as defined in the Scheme) of Murugan Consultants Private Limited into Bansal Coal Udyog Private Limited; and
   (c) Merger of Balaji Tradecom Private Limited and Sharthak Vanijya Private Limited with Bansal Coal Udyog Private Limited.

   The copy of the Scheme of Arrangement (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company 1 i.e., MV Impex Private Limited was incorporated under the provisions of the Companies Act, 1956 on

25.11.1988, presently having its registered office situated at 84A, Khasra No-548, 1st Floor, Main Vasant Kunj Road, Mahipalpur, New Delhi-110037. The registered office of the Transferor Company-2 is under the jurisdiction of this Tribunal**.**

3. The Transferor Company 2 i.e., Murugan Consultants Private Limited was incorporated under the provisions of the Companies Act, 1956 on 17.08.1995, presently having its registered office situated at K 59, 1st Floor, KH No. 796/2 Main Road, Vasant Kunj, Mahipalpur, New Delhi-110037. The registered office of the Transferor Company-2 is under the jurisdiction of this Tribunal**.**
4. The Transferor Company 3 i.e., Balaji Tradecomm Private Limited was incorporated under the provisions of the Companies Act, 1956 on 13.10.2007, presently having its registered office situated at 84A, Khasra No-548, 1st Floor, Main Vasant Kunj Road, Mahipalpur, New Delhi-110037. The registered office of the Transferor Company-3 is under the jurisdiction of this Tribunal**.**
5. The Transferor Company 4 i.e., Sharthak Vanijya Private Limited was incorporated under the provisions of the Companies Act, 1956 on 14.01.2008, presently having its registered office situated at 84A, Khasra No-548, 1st Floor, Main Vasant Kunj Road, Mahipalpur, New

Delhi-110037. The registered office of the Transferor Company-4 is under the jurisdiction of this Tribunal**.**

6. The Transferee Company i.e., Bansal Coal Udyog Private Limited was incorporated under the provisions of the Companies Act,1956 on 12.04.1988, presently having its registered office situated at K 59, Ist Floor, KH No. 796/2 Main Road, Vasant Kunj, Mahipalpur, New Delhi-110037. The registered office of the Resulting Company is under the jurisdiction of this Tribunal**.**

7. The Petitioner Company submits that the proposed scheme of arrangement of the Transferor Company No.1, Transferor Company No.2, Transferor Company No.3, Transferor Company No.4 and Resulting Company would have the following benefits: -

   a. The said Composite Scheme of Arrangement (hereinafter referred to as "Scheme") has been proposed, inter alia, to efficiently channelize the Petitioner Company's managerial and marketing strength, streamline administration and to promote and secure the overall interest growth and economies of the business.
   b. The said Scheme will enable further expansion and development of the business of the Transferor Companies. The said Scheme will enable the undertakings and business of the said companies to obtain greater facilities possessed and enjoyed by one company as compared with a number of smaller companies, for raising capital, securing and conducting trade, on favourable terms and other benefits to achieve cost savings from more focused operational efforts, rationalization, standardization and

simplification of business processes, productivity improvements and rationalization of administrative expenses.

c. The Board of all the Petitioner Companies are of the view that the proposed arrangement will enable the management of each of the companies to vigorously pursue revenue growth and expansion opportunities, and will also benefit in better utilization of financial and managerial resources.
d. The business of the said companies can be conveniently and advantageously combined together and in general the business of all the companies concerned will be carried on more economically and profitably if the Scheme is implemented.

8. The appointed date as fixed for the proposed scheme of Arrangement is as follow:-

A) Appointed Date 1 means the date with effect from which Part III (De-merger of the Coal Undertaking of the Transferor Company-1 into the Transferee Company) and Part IV (De-merger of the Coal Undertaking of the Transferor Company-2 into the Transferee Company) of this Scheme shall become operative viz. 1st March, 2020 or such other date as the National Company Law Tribunal or such other authority having powers to sanction the scheme under the Applicable Law.

B) Appointed Date 2 means the date with effect from which Part V (Amalgamation of Transferor Company No.3 and Transferor Company -4 with the Transferee Company) of this Scheme shall become operative viz. 1st April, 2020 or such other date as the National Company Law Tribunal or such other authority having powers to sanction the scheme under the Applicable Law.

9. A perusal of the petition discloses that the first motion application bearing CA(CAA)/99/PB/2020 was filed by the Petitioner Company. Based on the averments made in the said application the Tribunal vide order dated 04.12.2022, had dispensed with the requirement of convening the meetings of the secured creditors and unsecured creditors of the Petitioner company. Further in terms of the direction of the Tribunal vide order dated 04.12.2022, meetings of the shareholders of the Applicant Companies were duly convened on 09.01.2021 under the supervision of the Chairperson Mr. P.P. Bishwal and the Alternate Chairperson, Ms. Cipica Sharma. As per the Chairperson's report dated 14.01.2021, the shareholders of all the Applicant Companies have unanimously consented to the proposed Scheme.

10. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Ministry of Corporate Affairs, (ii) Registrar of Companies, NCT of Delhi and Haryana, (iii) concerned income tax department. The Petitioner Company has filed an affidavit of service dated 31.12.2020 in respect of notice of petition served to the Regional Director, Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana and the concerned income tax department.

11. The Petitioner Companies have filed affidavit of publication dated 06.04.2021 affirming that notice of hearing was duly advertised in "Business Standard"(Hindi) and "Business Standard"(English) New Delhi edition on 16.03.2021.

12. Pursuant to the Publication in the daily newspapers, for listing of the matter before this Bench, no objector has appeared before us. Pursuant to the notice issued, Regional Director and Official Liquidator, have filed their report and participated in the proceedings.

13. The Regional Director, Northern Region, Ministry of Corporate Affairs has filed its report dated 11.11.2021, wherein some observations were raised by the Regional Director, Northern Region, Ministry of Corporate Affairs. The Petitioner Companies vide reply affidavit dated 11.11.2021 had provided clarifications to the observations raised by the Regional Director in its report :-

Observation	**Observations of RD vide report dated 11.11.2021**	**Reply on Behalf of Petitioner Companies vide affidavit dated 11.11.2021**
13(i) to (iii)	(i)The above scheme of arrangement/Amalgamation is a composite scheme which stated to be involved demerger of the Coal Division of the Demerged Petitioner Companies viz.	Para 1.2 and 1.3 of the Scheme pertains to M V Impex Private Limited, First Demerging Company and Murugan Consultants Private

	Demerged Petitioner Company No.-1 and Demerged Petitioner Company No. 2 with the Transferee Company and also merger of Transferor Petitioner Company No. 3 and Transferor Petitioner Company No. 4 with the Resulting/Transferee Company namely BANSAL COAL UDYOG PRIVATE LIMITED. On examination of the contents of the scheme it is stated in Para-1.2, 2.2 and 3.2 of the scheme that currently the Transferor Companies are engaged in the business of trading of coal and coke etc. As per the latest financial statements of the financial year ended on 31.03.2020 filed by the above Petitioner Demerged/Transferor Companies, neither those gave information about pursuance of the object like trading of Coal and Coke (since no such information is found thereto in their respective profit & loss account statement) nor have reported about compliance of Accounting Standard-17 (Segment Reporting) in their said financial statements filed with MCA portal. Further to submit that none of the Petitioner Companies have amended their Memorandum of Association (MOA) to enable them to carry out the business of Coal and Coke as stated in the Petition/Scheme. In view of the above it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to comply with the provisions of the section 13 of the Companies Act, 2013 by adding the clause of trading of Coal and Coke as their main object in the MOA to bring its contention in	Limited, Second Demerging Company. The Memorandum of Association of the said demerging companies duly include the Coal and coke trading within its ambit. Reference to the respect clauses of MOA are given in the table below Name of the Company / Reference to MOA M V Impex Pvt. Ltd. / III A 1 and III A 2 Murugan Consultants Pvt. Ltd. / III B 5 and III C6 Bansal Coal Udyog Pvt. Ltd. / III A1 and III A3 As regards para 3.2 of the Scheme, the same pertains to Balaji Tradecomm Private Limited, Third Transferor Company which will get merged in the Transferee Company, and the current business of the Company is provided in para III A1. Of the Memorandum of Association of the Company. Therefore, as per the clauses as highlighted above, it is abundantly clear that the Company may partake coal related activities in this

	consonance with the matter mentioned in the present petition (about the object clause of the Petitioner Companies). Also the Hon'ble Tribunal may direct the Petitioner Companies to submit documentary evidence about pursuing object of trading & dealing with Coal & Coke by the Petitioner Transferor/Demerged Companies as stated in the scheme. (ii) The present scheme partakes Demerger of the Coal and Coke division of the Petitioner Company -1 and Petitioner Company-2 to the Transferee Company, whereas the scheme is silent about details of assets & liabilities of the respective Coal Division with their respective values. As per the latest Balance sheet as at 31.03.2020 filed by the said Petitioner Companies, no such specifics assets & liabilities of the Coal Division are found therein. Therefore, the deponent is unable to give view about reasonableness of the matter stated in the scheme and the share exchange ratio stated in the scheme. In view of the above it is submitted before the Hon'ble Tribunal to direct the Petitioner Companies to amend the scheme by stating specifically the details of assets and liabilities with their respective values to be transferred from the two Demerged Companies to the Resulting Transferee Company on approval of the scheme and the details of the assets & liabilities of the Remaining undertaking to be retained by the Demerged Companies on post-sanction	regard and need not seek any alteration in their Memorandum of Association. 4.2. As regards segment reporting, please note that undertaking includes part of undertaking not necessarily segmented. In any case, please note the Segment report has been duly provided by the auditors of the Company and the same was provided to the valuers for the purpose of conducting valuation. Copy of Segment Reports of the Demerging Companies, viz. MV Impex Private Limited and Murugan Consultants Private Limited are attached herewith as Annexure-"A". 4.3 that details of Coal Undertaking of the First and Second Petitioner Companies is defined in para 1.10 of the Scheme. Further the manner of transfer of assets and liabilities of the First and Second Petitioner Companies are provided in details in para 13.1 to para 13.7 of the Scheme. Infact, page 200 of the Petition provides for details of land as will get transferred to the Transferee Company pursuant to the Scheme becoming effective. As such, the Petitioners humbly

	of the scheme, a copy of which may be served upon to the Deponent for giving our further view, if so required by the Hon'ble Tribunal by filing further report in the form of supplementary affidavit in this matter. (iii) Para-30.3 of the scheme it is stated that: "Investments of the respective Transferor Companies in the Transferee Company, if any, shall stand cancelled and adjusted with the reserves/goodwill of the respective Transferor Companies".	submits that there is no need to amend the scheme. However, for the purpose of reference, the detailed bifurcation of the assets and liabilities of the respect Coal Undertaking of the First and Second Transferor Company is enclosed herewith as Annexure-"B".
(iv)	The above para of the scheme speaks that any cancellation of Investment shall be treated as Reserve/Goodwill in the books of Transferor/Demerged companies. In the case of merger/arrangement the cancelled/written off value of investment will be considered for computation of exchange ratio recommended in the scheme to give purchase consideration to the shareholders of the Transferor Companies by the Transferee Company. In the instant case above contention of the scheme speaks that the cancel value of the Investment of the Transferor/Demerged Companies shall be treated as Reserve/Goodwill which is wrong accounting principles, since it is neither a Revenue profit nor Capital Profit, therefore it cannot be treated as Reserves in the books of the Demerged Companies. In view of the above it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to delete such para from the scheme by adding	W.r.t para 13 (iv) of the Report, the valuation approach for the proposed Scheme has been laid in Page 15-19 of the Valuation Report. Detailed working for the computation for fair value has also been enclosed for the determining the fair value per share for each of the companies involved in the Scheme. As indicated in the report, the Registered Valuer has duly considered the fair value of cross holding for the purpose of determining the swap ratio. Pursuant to the Scheme, the shares held by the Transferor Company in the Transferee Company shall be cancelled as a company cannot hold its own shares. Clause 30.3 speaks only about the accounting treatment of the difference

	suitably proper accounting treatment in said clause of the scheme a copy of which may be served upon to the Deponent for giving our further view, if so required by the Hon'ble Tribunal by filing further report in the form of supplementary affidavit.	between the carrying value of investment in the books of the transferor Company and the par value of such shares issued by the Transferee Company, which as a result of the cancellation is required to be adjusted in the goodwill/ capital reserve.
(v)	The scheme partakes two Appointed Date i.e. 01st March, 2020 and 1st April, 2020 stated to be Appointed Date-1 and Appointed Date-2 (Para-1.3 and 1.4 of the scheme). For giving effect of the scheme and to draw the financial statements on post-merger it is reasonable to make Appointed Date as any one of the above dates for fair implementation of the scheme. The reason of selecting such two Appointed Dates in the scheme and the benefit derived out of the above two Appointed Dates instead of one Appointed Date is not stated in the scheme. In view of the above it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to amend the scheme by putting one Appointed Date in the scheme.	W.r.t. para 13 (v) of the Report, it is humbly submitted that there is no restriction in the Companies Act, 2013 read with allied rules thereunder and MCA circular on the Companies on having 2 Appointed dates in one Scheme. Infact, there have been several instances where the Hon'ble NCLT has approved the Scheme with 2 Appointed Dates. It is also pertinent to note that in the instant matter, the Scheme proposed is a composite scheme divided into 2 parts as such it is quite likely that the respective events w.r.t. each part will take effect from a particular prospective date. As such, the Scheme does not require any amendment
(vi)	Para-12 and Para-22 of the scheme it is stated that: Para-12 "upon the scheme being sanctioned and taking effect. all cheques, drafts, par orders, direct and indirect tax balances and/or payment advices of any kind or description issued	W.r.t. para 13 (vi) of the Report, it is to be noted that as per para 12 and 22 of the Scheme, the Cheques, drafts pay orders etc. drawn in favour of the First and Second

	in favour of the second Transferor Company, either before or after the Appointed date or in future, pertaining to its coal undertaking may be deposited with the Bank of the Transferee Company and credit of all receipts thereunder will be given in the accounts of the Transferor Company. The similar contention is also stated in para-22 of the scheme. It is submitted that the above contention of the scheme does not fall under the purview of section 230 of the Companies Act, 2013 since on giving effect of the scheme the Transferor Companies shall be dissolved without winding-up w.e.f. the Closing Date of the scheme, therefore, the operations of the Bank Accounts etc. of the Transferor Companies will be effective upto the Closing Date of the scheme only. Therefore, it is prayed before the Hon'ble Tribunal to direct the Petitioner Companies to suitably amend the above paras of the scheme since after Effective Date the Transferor Companies will lose their perpetual succession and hence their life will be come to an end on giving effect of the scheme i.e. upto the Effective Date of the scheme.	Transferor Company pertaining to the Coal Undertaking of the First and Second Transferor Company be deposited with the Transferee Company. This is in line with section 230 of the Scheme, as even after the Scheme of arrangement being approved, the First and Second Transferor Companies will be in existence. Thus, the Companies should have the liberty to transfer all the belongings to the 'Coal Undertaking' of the First and Second Transferor Company to the Transferee Company. As such, the Scheme does not require any amendment in this regard.

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<td>(vii)</td>
<td>On examination of the copy of the petition served to this office in respect of above amalgamation it is found that the Transferor company-4 namely Sharthak Vanijya Private Limited is following activities of "Non-Banking Financial Companies (NBFC)" as defined under Reserve Bank of India Act, 1934 since it is evidenced from the Balance Sheets of the financial years ended on 31.03.2019 that more than 50% of its total assets are financial assets and also more than 50% of its total income is generated from financial activities. The details of the financial assets and revenue from financial activities are as follows:
<table>
<tr><td>Description</td><td>Financial Year 2018-19</td></tr>
<tr><td>Total Asset (TA) (Rs in lakhs)</td><td>540.96</td></tr>
<tr><td>Financial Assets (FA) (Rs. In lakhs)</td><td>270.82</td></tr>
<tr><td>% of TA to FA</td><td>50.06%</td></tr>
<tr><td>Total Revenue (TR) (Rs. In lakhs)</td><td>19.91</td></tr>
<tr><td>Revenue generated from financial activities (TFR) (Rs in lakhs)</td><td>19.91</td></tr>
<tr><td>% of TR to TFR</td><td>100%</td></tr>
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</td>
<td>A s regards para 13 (vii) of the Report, kindly note that the Fourth Transferor Company is a Private Limited Company. The financial asset of the Company is comprised of Balance in Bank and Cash in hand (as is evident from note 2.6 of the financials of the Fourth Transferor Company). Further, the Company does not have any revenue as such, the revenue of the Company is basically comprised of Interest of FDR, Interest of FD, Interest of IT refund and Interest on Loan (as is evident from para 2.10 of the financials of the Company), however, it is pertinent to note that the Company is not carrying out any NBFC activities. Also, the statutory auditors of the Company themselves have certified that the Company does not require registration under section 45 IA of the Reserve Bank of India, 1934. May kindly refer para xvi page 373 of the Petition in this regard. In any case, please note that a copy of Petition has also been served to the Reserve Bank of India in terms of the directions of the Hon'ble Bench vide order dated 26th May, 2021. Proof</td>
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	From the above submission it is clear that the Transferor Company No. 4 is following NBFC activities without obtaining approval of the RBI and also without amending its main object of MOA, thereby the said petitioner company has not complied with the provisions of section 45-I of the Reserve Bank of India Act, 1934 & also the provision of section 13 of the Companies Act, 2013. In view of the above the Hon'ble Tribunal may kindly look into the matter and may call the opinion of the Reserve Bank of India in the above matter for approval of the scheme.	of same is enclosed as Annexure-"C". No observation/ objection has been filed by the Regional Director, RBI, in the matter till date.

14. Upon receipt of the Notice and after considering the documents submitted by the Petitioners, RD (NR) has submitted his report on 11th November, 2021. Given that there were certain observations made by the RD w.r.t. the proposed scheme, the Petitioner Companies duly submitted Rejoinder affidavit w.r.t. the observations made by the RD. Again on 29th March, 2022, RD has filed his additional report wherein again there are certain observations made by RD. The same is summarized below:

S.No.	**Observations by RD vide Additional affidavit dated 29th March, 2022**	**Submission on behalf of the Petitioners**
1.	MV Impex and Murugan Consultants do not provide for Coal trading business	Kindly refer Clause III A (2) of the MOA of MV Impex [at page 40 of the Petition]; and

	and segment reporting of coal business not found in audited financials of demerged companies	Clause C (6) of the MOA of Murugan Consultants [at page 76] These companies are registered under companies Act, 1956.
2.	Clarification regarding how cancelled shares will be treated as capital reserve or goodwill	Para 3.2. of Scheme at page 191 of the Petition says, that difference, i.e. excess or shortfall of the value of transferred assets over transferred liabilities and cancellation of shares held by the transferor companies in the transferee company, shall be adjusted with goodwill or capital reserve, as the case may be. This is in line with the AS-14.
3.	Provisions of Companies act, 2013 and Rules thereof do not provide of 2 appointed dates. However, the scheme provides for 2 appointed dates. The same may create accounting hurdles for giving effect to the Scheme.	The proposed Scheme is a composite scheme divided into 2 parts as such it is quite likely that respective events w.r.t each part shall take into effect from particular date. Also, there is no restriction in Companies Act, 2013 read with rules and MCA Circulars to have two appointed dates. There are several composite schemes approved by NCLT Benches having 2 appointed dates.
4.	Any negotiable instrument w.r.t. the merging companies should be deposited in the Bank account of the Transferee Company. "upon the scheme being sanctioned and taking effect, all cheques, drafts, par	This is in line with Section 230 of the Companies Act, 2013 as even if the scheme is approved, the Transferor Company 1 and 2 will remain in existence and thus the company should have liberty to transfer all the belonging of Coal Undertaking of Transferor Company

	orders, direct and indirect tax balances and /or payment advices of any kind or description issued in favor of the second transferor company, either before or after the appointed date or in future, pertaining to its coal undertaking may be deposited with the bank of the transferee company any credit or all receipts thereunder will be given in the accounts of the transferor company".	1 and 2 to transferee company.
5.	The Petitioner company number 4 is following NBFC activities	Sharthak Vanijya Private Limited is a private limited company. Its financial assets are comprised of balance in bank and cash in hand (as is evident from note 2.6 of the financials of the Company). The revenue of the company is basically comprised of FDR, Interest of FD and interest of income tax refund. As such the company is neither carrying on any NBFC activities nor is intending to carry on the same. Also, the statutory auditors of the company have certified that company does not require any registration from under section 45 IA of RBI Act, 1934.

15. The Official Liquidator, vide report dated 27th July, 2021 has stated that the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956 / the Companies Act, 2013 whichever is applicable

16. The Income Tax Department has not submitted its report despite several reminders. The Petitioner Companies have filed the affidavit cum undertaking with respect to the payment of outstanding income tax liabilities after the approval of the Scheme and the proof of filing of Income Tax Return (ITR-V) by the respective Petitioner Companies for the FY 2020-21, FY 2019-20 and FY 2018-19 are also placed on record.

17. Considering the reply of the Petitioner Company and further, the undertakings of the Petitioner Company with respect to the observations and clarifications sought by the Regional Director and the payment of all the income tax dues, we find no impediment in approving the present scheme of arrangement.

18. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013

or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

19. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules. 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

20. The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

21. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors,

employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

22. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions:-

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

23. This Tribunal with respect to De-merger of the Coal Undertaking of the Transferor Company-1 and Transferor Company-2 into the Transferee Company do order:-

a) That all properties, rights and powers of Demerged Undertaking be transferred without further act or deed to the Resulting Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act,2 013 be transferred to and vested in the Resulting Company for all intents, purposes and interest of the Demerged Undertaking subject nevertheless to all changes now affecting the same; and

b) That all the liabilities, (if any) and powers, engagements, obligations and duties of the Demerged Undertaking shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Resulting Company and accordingly the same become the liabilities and duties of the Resulting Company; and

c) That all proceedings now pending by or against the Demerged Undertaking shall be continues by or against the Resulting Company; and

d) That the Petitioner Company, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Demerged Undertaking shall be deemed to be transferred; and

e) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

24. This tribunal further directs with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and

statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

25. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(SHRI RAHUL BHATNAGAR)
MEMBER (T)

Sd/-
(JUSTICE TELAPROLU RAJANI)
MEMBER (J)